

THE FOLES

Anycity, XX, USA

OFFERING MEMORANDUM

EAST LANG ELLIS



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Location Overview	N/A
Market Overview	N/A



EXECUTIVE SUMMARY

EAST LANG ELLIS

THE FOLES

A WORLD CLASS
ONCE IN A GENERATION OFFERING

The Foles is a 300', 25-story high-rise with 325 luxury residences in the heart of Anytown's Center City district. Its location is central within the vibrant, mixed use downtown area and boasts impressive views. This Property is well positioned as a best-in-class asset.

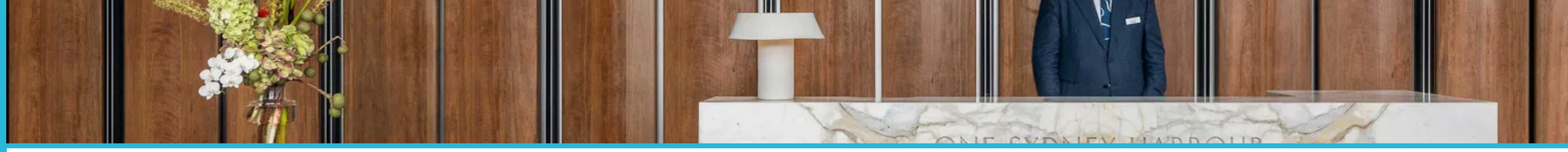
The Foles is the latest Class A multifamily asset to be delivered in the Center City submarket and there is currently no additional multifamily high rises in the pipeline.

PROPERTY SUMMARY	
Number of Units	**325**
Residential Square Footage	**257,000**
Average SF Per Unit	**791**
Stories	**25**
Parking Spaces	**200**
Occupancy	**95%**
Average Rent	**$2,432**
Average Rent PSF	**$3.08**



ROOFTOP DECK VIEW

PROPERTY OVERVIEW



Physical Summary & Amenities

PHYSICAL SUMMARY

PROPERTY DETAILS	
Completed	April 2016
Site Size (Acres)	0.855
Building Height	290'
Units	325
Gross Building Area	290,000
RSF	257,000
Average SF	791
Stories	25
Parking Spaces	200
Ceiling Heights	8'6" (L2-20); 9' (L21-25)
Washer/Dryer	In Unit
Patios/Balconies	Patios in select units
Construction Type	Type 1

UNIT AMENITIES

- Washer/Dryer in Unit
- Recessed lighting
- Walk-in closets
- Soaking tub
- Dishwashers
- Balconies
- USB charging outlets

PROPERTY AMENITIES

- 2 indoor pools: lap & recreational
- Rooftop deck with gas grills
- Fitness center with yoga studio
- Coffee bar
- Billiards & ping pong room
- Catering kitchen

Unit Mix & Stacking Plan

UNIT MIX

Type	Units	% Units	Total RSF	% RSF	Ave SF	Ave Rent	$/RSF
Studio	48	15%	27,456	11%	572	$1,773	$3.10
1 Bed	130	40%	103,350	40%	795	$2,447	$3.08
2 Bed	114	35%	94,050	37%	825	$2,525	$3.06
3 Bed	33	10%	32,076	12%	972	$3,003	$3.09
Total/Ave	**325**	**100%**	**256,932**	**100%**	**791**	**$2,431**	**$3.08**

STACKING PLAN

Floor	Studio	1 Bed	2 Bed	3 Bed	Total Units	Total Net Rentable SF
Floor 25	0	4	6	2	12	10,074
Floor 24	0	4	6	2	12	10,074
Floor 23	0	4	6	2	12	10,074
Floor 22	0	4	6	2	12	10,074
Floor 21	0	4	6	2	12	10,074
Floor 20	1	1	3	2	7	5,786
Floor 19	2	6	3	2	13	10,333
Floor 18	2	6	3	2	13	10,333
Floor 17	2	6	3	2	13	10,333
Floor 16	1	7	4	1	13	10,409
Floor 15	2	7	4	1	14	10,981
Floor 14	2	7	4	1	14	10,981
Floor 13	2	7	4	1	14	10,981
Floor 12	2	7	4	1	14	10,981
Floor 11	4	6	4	1	15	11,330
Floor 10	3	1	5	1	10	7,608
Floor 9	3	6	5	1	15	11,583
Floor 8	3	6	5	1	15	11,583
Floor 7	3	6	5	1	15	11,583
Floor 6	3	6	5	1	15	11,583
Floor 5	3	6	6	1	16	12,408
Floor 4	4	6	5	1	16	12,155
Floor 3	3	6	6	1	16	12,408
Floor 2	3	7	6	1	17	13,203
Floor 1	—	—	—	—	—	—
Total	**48**	**130**	**114**	**33**	**325**	**256,932**

SECTION 03

UNDERWRITING

Historical Operating Statements

LINE ITEM	2016 (APRIL - DEC)	2017	T12 OCT. '18
Market Rent	4,081,466	9,370,461	9,557,870
Loss-to-Lease	(36,733)	(112,446)	(191,157)
Actual Vacancy & Credit Loss	(152,375)	(376,234)	(477,894)
Concessions	(464,599)	(403,591)	(412,900)
Total Rental Revenue	**3,427,758**	**8,478,191**	**8,475,919**
RUBS	103,546	235,271	234,000
Other Income	61,779	132,615	136,220
Storage Income	82,030	166,663	171,000
Parking Income	161,190	315,949	324,000
Total Other Income	**408,546**	**849,893**	**865,220**
Gross Revenue	**3,836,304**	**9,327,622**	**9,341,139**
General Vacancy and Credit Loss	(11,063)	(19,060)	(28,674)
Total Effective Gross Revenue	**3,825,241**	**9,308,533**	**9,312,466**

LINE ITEM	2016 (APRIL - DEC)	2017	T12 OCT. '18
Repairs and Maintenance	56,628	121,119	123,541
Contract Services	36,299	93,007	99,369
Turnover	71,781	120,802	133,121
Administrative	45,165	98,988	100,968
Advertising and Marketing	104,715	127,189	87,860
Payroll	277,667	604,830	607,031
Utilities	174,232	348,601	386,858
Property Taxes	495,794	1,500,000	1,520,000
Insurance	107,482	234,825	238,739
Property Management	112,355	274,599	279,374
Total Operating Expenses	**1,482,117**	**3,523,962**	**3,576,861**
NET OPERATING INCOME	**2,343,125**	**5,784,572**	**5,735,604**

Pro Forma

THE FOLES — UNLEVERED CASH FLOW (KEY YEARS)

LINE ITEM	YEAR 1	YEAR 10	RESIDUAL
Gross Revenue	$10,063,678	—	—
Total Effective Gross Revenue	$10,038,947	—	—
Total Operating Expenses	$3,816,609	—	—
NET OPERATING INCOME	**$6,222,338**	**$9,106,391**	**$9,464,449**

GROWTH ASSUMPTIONS

Gross Potential Rent
3.50%

Loss to Lease
1.50% of GPR

Actual Vacancy & Credit Loss
4.00% of GPR

Concessions
2% Y1, 1% Y2, 0% thereafter

General Vacancy
0.25% of GPR

RUBS
3.00% annual growth

Other Income
3.00% annual growth

Storage & Parking Income
3.00%

Controllable Expenses
3.00%

Property Taxes
2.00% growth rate

Insurance
2.00%

Property Management
3.00% of EGR

Sale & Rent Comparables

SALE COMPARABLES

Comp	Name	Units	RSF	Ave Size/Unit	Sale Price	$/Unit	$/RSF	Cap Rate	Built	Sale Date
1	Cunningham Tower	250	181,250 RSF	725 RSF	$77,413,889	$309,656	$427.11	5.40%	2014	Dec-17
2	41 Victory Lane	162	113,400 RSF	700 RSF	$49,348,257	$304,619	$435.17	5.30%	2012	Mar-18
3	The Dawkins	375	271,875 RSF	725 RSF	$120,587,019	$321,565	$443.54	5.20%	2016	May-17
4	540 Pacific	65	57,785 RSF	889 RSF	$33,318,831	$512,597	$576.60	4.00%	2015	Dec-16
5	The Kelce	300	210,000 RSF	700 RSF	$93,143,077	$310,477	$443.54	5.20%	2016	May-18
Average	—	—	**724 RSF**	—	—	**$324,489**	**$448.05**	—	—	—

RENT COMPARABLES

Field	123 Wentz Circle	The McNabb	540 Pacific	The Aero
Total Units	213	413	65	330
Avg. Size	739 sf	764 sf	889 sf	805 sf
Year Built	2012	2009	2016	2013
Occupancy	94%	93%	98%	96%
Studio Asking Rent	$1,783	$1,678	$2,034	$1,860
Studio per SF	$3.10	$3.05	$3.39	$3.10
1 Bed Asking Rent	$2,333	$2,219	$2,865	$2,336
1 Bed per SF	$3.07	$3.06	$3.37	$3.05
2 Bed Asking Rent	$2,593	$2,480	$3,468	$2,627
2 Bed per SF	$3.05	$3.10	$3.65	$3.09
3 Bed Asking Rent	N/A	$2,803	$4,608	$3,090
3 Bed per SF	N/A	$2.95	$3.84	$3.09
Ave Asking Rent	**$2,269**	**$2,321**	**$3,150**	**$2,479**
Ave per SF	**$3.07**	**$3.04**	**$3.54**	**$3.08**
Concessions	4 Weeks	4 Weeks	4 Weeks	4 Weeks